



How I Trade Options

By Roger Scott
Senior Trader & Head Publisher
WealthPress



My Story

Hi – my name is **Roger Scott**, Senior Trader at **WealthPress**.

As a commodity broker and hedge fund trader, I've had 25 years of experience trading everything from corn futures to stock options and ETFs.

I ran my first fund with two Ivy League economists – both of whom have been advisors to the White House during multiple presidencies.

Later I ran a fund with one of Richard “Prince of the Pit” Dennis’ original “Trading Turtles” – the group of beginners who earned \$175 million in profits in 5 years.

Over a 10 year stretch, my strategies turned \$20 million into roughly \$740 million. At one point, I had some \$900 million under management.

My clients have included one of the 10 wealthiest families on Earth.

In 2008, I started his first trading education and advisory company. I've since helped thousands of traders and investors get an edge in the market.

I've been featured on CNBC, CNN, Forbes, Bloomberg and Fox Business. Now he's the Senior Trader at WealthPress.

But, I come from humble beginnings.

My father owned an automotive repair shop. We were very middle class.

I secured my first trading capital by accident. It came from an insurance settlement after a 90-year-old World War II widow ran a red light and t-boned my car.

Fortunately, nobody was seriously hurt, insurance settled very quickly, and I had secured \$5,000 to start trading. It wasn't a lot, but it was enough to begin.

Within a year, I had traded all the way up to roughly \$37,000.

The rest – as they say – is history.

I've published this guide for one very simple reason:

I believe options are one of the best financial tools available to investors today.

Yes, they can be intimidating to new traders. But the potential leverage you can get as an option trader is unlike anything you'll find with stocks.

Leverage means you can magnify your gains.

A 5% gain might become a 50% profit.

However – options are not without risk. If you don't know what you're doing, you can lose a lot of money VERY quickly and never understand why.

That's why the material in this guide is so important.

I'm giving you the foundations you need to trade options safely, confidently and – if you're diligent – profitably as well.

What is an Option?

An **Option** is a contract to buy or sell a specific Stock or ETF, which is officially known as the option's underlying instrument. The contract itself is very precise. It establishes a specific price, called the **Strike Price**, at which the contract may be **Exercised**, or acted on. And it has an **Expiration Date**. When an option expires, it no longer has value and no longer exists. Options come in two varieties... **Calls** and **Puts**. You can buy or sell either type. You make those choices – whether to buy or sell and whether to choose a call or a put – based on what you want to achieve as an options trader.

What is a Call?

When you buy a call, you gain the right to buy the underlying asset at a specified **Strike Price** on or before the **Expiration Date**. You are never required to purchase the underlying asset, but if you decide to do so, you have that right.

To gain the right to purchase the underlying asset, you have to pay a **Premium** to the seller of that option. In return for the payment, you gain the right to control the underlying stock. 1 option **Contract** controls 100 shares.

In very basic terms, when you purchase a **Call** option, you profit if the underlying stock goes up and you MAY lose money if the underlying stock moves lower. Because you don't own the actual underlying asset, buying **Calls** is substantially cheaper than buying stocks or any other underlying asset that you may be interested in trading.

Because we are speculating on the rise of the underlying asset, we simply want to earn a profit when the underlying asset rises. We do not want to own the underlying stock and will offset or sell the **Call** option if it happens to rise as a result of a rise in the price of the underlying asset.

What is a Put?

Similarly to **Call** options, you don't have to own the underlying asset to benefit from a **Put** option. So instead of shorting or selling short assets that you don't own, you can purchase a **Put** option; this can result in less financial risk to your account than selling the actual underlying asset instead.

When you buy a **Put** option, you know in advance how much you can lose, but when you short the underlying asset instead, you don't know your actual risk unless you use buy stop orders (stop loss orders for short traders), and even then an overnight gap or sudden news can cause the asset to gap above the buy stop price, increasing your intended risk on the trade by an unforeseeable amount.

The Basics of Buying Call and Put Options

In very basic terms, when you purchase a **Call** option, you profit if the underlying stock goes up and you MAY lose money if the underlying stock moves lower. Because we are speculating on the rise of the underlying asset, we simply want to earn a profit when the underlying asset rises. We do not want to own the underlying stock and will offset or sell the **Call** option if it happens to rise as a result of a rise in the price of the underlying asset.

When you purchase a **Put** option, you profit if the underlying stock goes down and you MAY lose money if the underlying stock moves higher. Because we are speculating on the decline of the underlying asset, we simply want to earn a profit when the underlying asset declines. We will offset or sell the **Put** option if it happens to rise as a result of a decline in the price of the underlying asset.

Because you don't own the actual underlying asset, buying **Calls** or **Puts** is substantially cheaper than buying or shorting stocks or any other underlying asset that you may be interested in trading.

The Upside To Buying Call and Put Options



One of the most desirable aspects of buying **Calls** and **Put** options is the low cost. For example, a stock may cost \$100 per share, while the **Call** or **Put** option costs \$5.00 per contract. This allows you to participate in the price movement of the underlying asset for a limited time, without having to purchase it or short it outright. This can be extremely advantageous if you cannot afford to buy or sell short the underlying asset because the

cost is just too high. The **Call** or **Put** option is only a fraction of the cost of the underlying stock and can offer you a chance to participate in the potential price gain or decline that would otherwise be prohibitively expensive, if you had to buy or sell short the actual asset instead.

Another very important reason why speculators would opt for a **Call** or **Put** option instead of the underlying asset is leverage. For a very small percentage of the actual price of the underlying stock, you are able to control a substantially larger number of shares instead.

For example, if a **Call** option costs \$5.00 and the underlying stock costs \$100.00 per share, you would have to spend \$10,000 to control 100 shares of the underlying stock. If you purchased the **Call** options instead, you would spend \$500.00, and that would give you the right for a limited time to control 100 shares of the underlying stock.

Therefore, if you have a small account and you believe that an expensive stock is going to move higher or lower, buying the **Call** option or **Put** option, respectively, instead of the underlying stock may be the only viable alternative.



Another reason for purchasing a **Call** or **Put** option instead of buying the underlying asset is less risk. First of all, when you buy a **Call** or **Put** option, you know ahead of time how much you can potentially lose on the trade, so your risk is limited ahead of time, which is a major advantage. While you can lose the entire cost of the option that you purchased, there is no further liability that comes with owning a **Call** or **Put** option; but if you purchase or sell short

the stock instead, you can potentially lose more than you originally intended or planned on that specific trade.

To give you a very simple and somewhat common example, if you purchase 100 shares of stock priced at \$100 dollars per share and a negative earnings report or a major downgrade is released several hours after the stock market closes for the day; the stock can potentially open the next day much lower than what you originally paid for the shares. If the stock opens at \$65 dollars per share for example, the \$10,000 that you paid for the 100 shares would now be worth only \$6,500; in other words you would have lost \$4500 on the trade, without having the ability to mitigate the loss because when the report or downgrade was released the market was closed and you had no opportunity to liquidate the stock shares at a higher price.

If instead you purchased 1 **Call** contract (equals 100 shares of stock), your exposure and maximum risk would be limited to \$500.00, even if the price of the stock moves from \$100.00 per share to \$65.00 per share or even lower.

In conclusion, buying **Call** or **Put** options can often times make more sense and can make a great alternative to buying or selling short the underlying asset, especially when you anticipate a quick price move in a very short period of time.

Always consider the upside and the downside to each trade.



Choosing The Right Call Option



There are many factors that go into deciding which call option to buy. One of the biggest mistakes that beginners make is focusing on the price of the call option, instead of the ultimate objective or the reason for purchasing the call option.

The better way to approach this question is to determine exactly what the call option is worth and how much value you can gain from the option that you are interested in purchasing.

The biggest factor that should go into deciding which call option to purchase is to consider the **anticipated movement** in the underlying asset and the **timing for that movement**, only then can you reasonably determine which option you should purchase.

There are three main types of call options:

1. Out of the money - This is the cheapest type of call option. The strike price for the option is substantially above the price of the underlying asset. This type of option is typically purchased when the call buyer anticipates a very strong move within a relatively short time in the underlying asset.

For example, if the price of the underlying stock is \$50.00 per share, an out of the money call option with a strike price of \$60.00 would be an out of the money option. This option would require the price of the stock to move substantially higher for this particular option to begin gaining substantial value.

2. At the money - This particular call option is purchased when the buyer is expecting a medium sized move within a relatively short period of time. The at the money call option is a popular choice for swing traders, because it doesn't require a very strong move to begin gaining value, unlike an out of the money call option.

For example, if the price of the underlying stock is \$50.00 per share, at the money call option would be a \$50.00 strike price call option. This particular call option would be much more responsive or sensitive to the movement of the underlying stock price and would move roughly \$.50 cents for every dollar the underlying stock price gains.

3. In the money - The in the money call option is purchased when the call buyer is expecting the option to move very closely to the movement of the underlying stock.

In the money call option is a viable choice when the the underlying stock is expensive and the trader wants to participate in the movement of the underlying stock, but doesn't want to incur the downside risk or exposure that comes with owning the actual asset and doesn't want to spend or doesn't have a large enough account to purchase the amount of shares that are needed.

For example, if the price of the stock is \$200.00 per share and the trader wants to purchase 100 shares of the underlying stock, the trader will need \$20,000.

If on the other hand, the trader decides to purchase the in the money call options, the cost would be \$25.00 for example; so the cost of the 1 contract (100 shares) would be \$2,500 instead of the \$20,000 that would be needed to purchase 100 shares of the underlying stock instead of the call option.

In addition to deciding which strike price you should purchase, the second part is deciding on how much time you will need.

You have to keep in mind that options decay or lose a major portion of their value during the last month prior to expiration, so I don't recommend you purchase call options that have less than one month till expiration, unless you are expecting an imminent price move in the underlying asset.



If you are day trading or swing trading and intend to hold the call option for a few hours or a few days, then buying options with less than one month of time value may be a viable choice, since the less time value the option holds the option will be cheaper, because the odds of it expiring worthless are high.

But on the other hand, if you don't know or have a good sense of how long it may take for the underlying asset to begin moving, then it may be a good idea to purchase a call option that has a few months till expiration.

This way the option will decay slowly and give you bigger time window for the underlying asset to make a price gain that's needed for the option to move higher and ultimately gain more value, which is our ultimate goal.

In summary, consider the strike price and the timing of the underlying asset instead of focusing on the price of the call option. If you follow this simple advice, you will increase the odds of buying call options that end up expiring in the money instead of expiring out of the money and worthless instead.



Choosing The Right Put Option

Most traders focus on making money when underlying markets move higher, but most professional and seasoned traders focus equally on both sides of the market. You have to consider the fact that financial markets move down faster than they rise, giving you tremendous opportunity to profit from both sides of the market. Thereby, increasing your potential profit opportunities and decreasing overall risk to your portfolio over time.

PUT $\Rightarrow$ PRICE 

When you purchase a put option, you plan to profit when the underlying asset declines in price. The more the price declines, the more value the put option gains. During prolonged bear market cycles, when markets continuously decline over time, buying put

options is one of the best strategies. And if you trade stocks and believe that earnings are going to cause one of your current positions to decline in price, buying a put option can protect or mitigate the downside selling pressure that the stock is going through; if for example earnings are below expectations during a particular earnings quarter.

Similarly to call options, you don't have to own the underlying asset to benefit from a put option. So instead of shorting or selling short assets that you don't own, you can purchase a put option; this can result in less financial risk to your account than selling the actual underlying asset instead. When you buy a put option, you know in advance how much you can lose, but when you short the underlying asset instead, you don't know your actual risk unless you use buy stop orders (stop loss orders for short traders), and even then an overnight gap or sudden news can cause the asset to gap above the buy stop price, increasing your intended risk on the trade by an unforeseeable amount.

One very popular method of using puts is to initiate a long put position as a hedge or a protection against strong downside market moves that can impact your existing positions. If you own a stock portfolio, you can purchase puts instead of liquidating or protecting your portfolio using stop loss orders. While the mitigation may not result in 100% protection, it can help you avoid liquidating the actual asset, protect your portfolio as a whole or help you protect only part of the portfolio by purchasing puts to protect only those assets that are at risk at any given time.

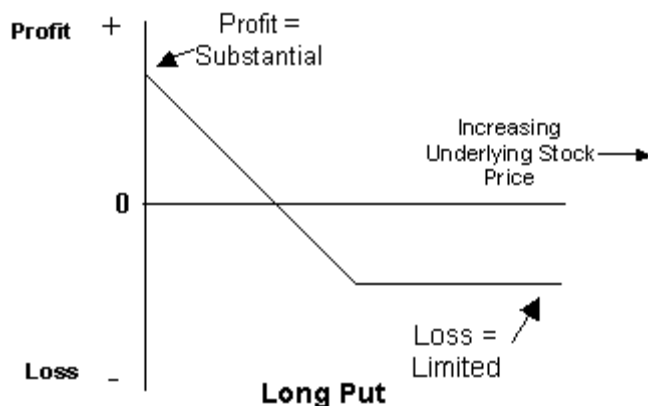
The best type of market environment for a put buyer, is one that's about to decrease in value, so in essence, you have to start thinking like a short seller to benefit from long put options. There are several technical indicators that I use consistently, to trade to the short side or to help me profit from bearish market environment.

One of the best indicators is scanning for assets that are making 90 day price lows. According to extensive back tests, assets that trade at the 90 day price low, tend to continue moving lower over time. I suggest you create a weekly list of assets that meet this criteria and combine it with a short term technical indicator that you can utilize to fade against the main downtrend.



In the example above you can see the stock trading gradually lower. You always want to trade in the direction of the main trend, so the first step is to make sure that the asset is moving lower over time. The biggest mistake you can make is to trade against the main trend, avoiding this one mistake can make a big difference in your trading.

Once you identify the main trend, you wait for the asset to reach a 90 day price low or break below the 90 day price low. The next step is to wait for a pullback against the main trend AND the 90 day price low. You can use one of several short term technical indicators or a set up based on a price pattern, to help you identify the pullback against the main trend, and alert you to the best time to buy a put option, before the assets reverts back to the main trend; which is the most likely outcome from a statistical perspective and from my experience over the past two decades of trading both sides of the market equally.



There are three different types of put options: at the money, in the money and out of the money, and each one has a distinct advantage and disadvantage and that's another factor we have to take into account before initiating a long put option. A put option is at the money if the strike price of the option and the price of the underlying asset are on at the same price level. For example, if XYZ stock is priced at \$50.00 per share and you buy a put option with a strike price of \$50.00, the option would be at the money.

If on the other hand, the strike price was at \$60.00 and the price of the underlying asset was at \$50.00, the put option would be in the money. And if the strike price was \$40.00 and the underlying asset was at \$50.00, the put option would be out of the money.

The most expensive put option is one that's **in the money**, because in addition to time value, the option also holds intrinsic value, which in addition to time value, is the second biggest factor that determines the price of the option; with volatility being the first.

As the strike price moves from being in the money to being **at the money**, the price of the option decreases, because the option does not have intrinsic value, but because the option is on the verge of being in the money, the price of the option is lower than the in the money option.

The lowest price put option is the **out of the money put option**, where the strike price of the option is below the price of the underlying asset. This type of put option holds no intrinsic value and has the least chance of ending up in the money at expiration.

You have to keep in mind that the market price of an option at any given time is entirely based on the odds of that option expiring in the money. Therefore, the closer the put option gets to being in the money, the more it will be worth and the further the put option gets from being in the money, the less it will be worth.

How close or far away you choose to buy a put option is largely determined by the type of price move you are expecting from the underlying asset. If you are expecting a small to moderate price move, an in the money option would offer you the best choice since the underlying asset needs to move moderately lower for the price of the put option that's in the money to increase.

If on the other hand you are expecting the price of the asset to decrease sharply over a short period of time, then an out of the money put option may be the best choice, since the option will offer you the most leverage under the circumstances.

Keep in mind, that from a perspective of probabilities, the odds favor options that are in the money over out of the money, since put options that are in the money have a much higher chance of ending up profitable prior to expiration.

When deciding which put option to purchase, always take into account the worst case scenario as well as the potential upside. Choosing the best put option can be tricky, but with time and more importantly actual trading experience, you will develop a natural feel for different options and how they react to the underlying asset.



Important Trading Tips For Options Buyers

Buying options is different than buying the underlying asset, because not only do you have to be right on the underlying market direction, but you also have to consider other factors, such as time decay, volatility levels and several other factors that can cause you to be 100% accurate on direction of the underlying asset, and still end up losing the entire premium paid.

When it comes to buying options, there are several pitfalls that can be avoided by following some simple trading tips that I've outlined below. While there are no guarantees when it comes to buying options, I can promise you that each these trading tips are based on over 20 years of actual trading, running two hedge funds and mentoring thousands of traders over the years.

Trade In The Direction Of The Major Trend



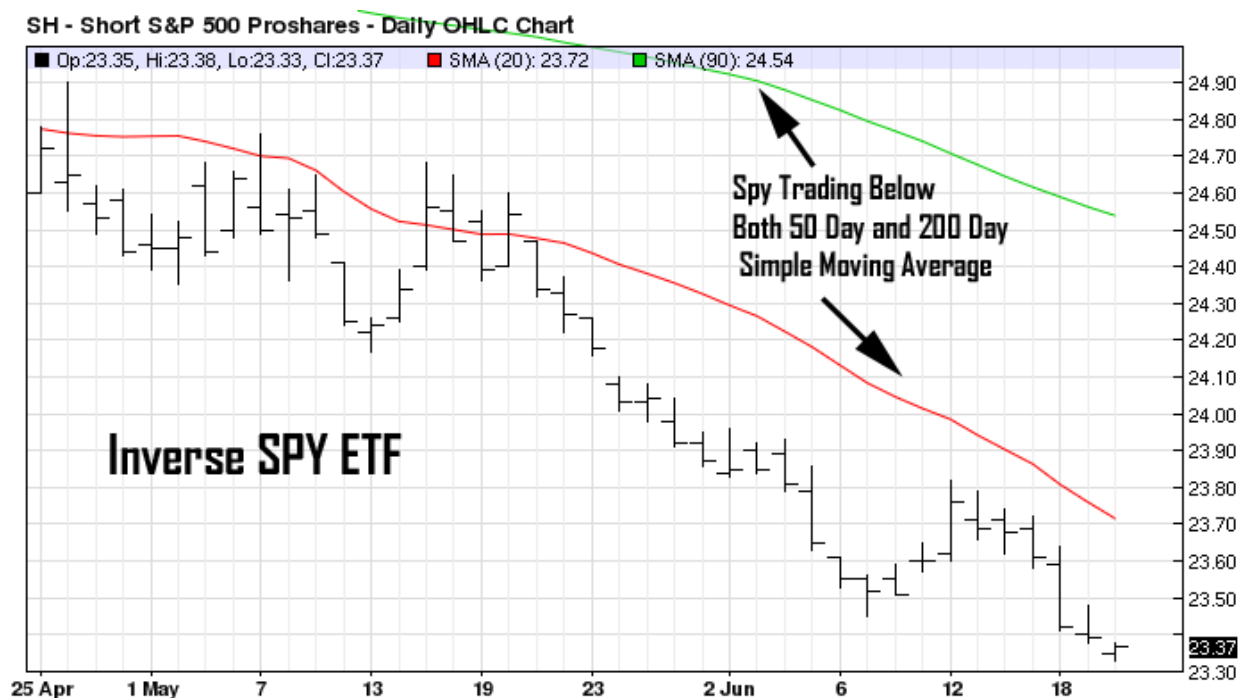
It's very tempting as well as less difficult psychologically to trade against the trend. People are naturally conditioned to buy low and sell high, so it's very difficult for some to change their belief system when it comes to financial markets.

I've back tested numerous trading methods over the past two decades and trading in the direction of the overall trend lowers your risk, increases size of gains and percentage of profitability.

To determine whether or not the underlying asset is trading in an uptrend, simply confirm that the underlying asset is trading above both the 200 day and 50 day simple moving average.



To confirm that the underlying asset is trading in a strong downtrend, the underlying asset must trade below both the 200 day as well as the 50 day simple moving average.



Don't Use Stops And Market Orders



The only type of order you want to utilize when buying options is a limit order. Market orders will cause you incur unnecessary slippage, because the spread between the bid and offer can be rather wide with the majority of options contracts.

Stop orders can be equally as bad because once the stop gets executed, the order becomes a market order, which opens you up to terrible slippage over time.

Often times I see traders using stop limit orders; this type of order becomes a limit order after the stop is triggered, so there's no guarantee that you will get filled on the trade. If you do decide to experiment with stop limit orders, avoid using them for risk protection, since you may or may not be filled; something you don't want to chance when it comes to risk control.

Avoid Information Overload



One of the most important characteristics of successful trading is having confidence in your strategy in good times and in bad times. Recently, I spoke with a trader who followed twelve different advisory services. While the trader was knowledgeable, he sounded confused and never knew with certainty if he should be buying or selling.

While I encourage everyone to learn as much as possible about options trading, following more than one or two advisory services will only confuse you and undermine your confidence in your own belief system; which is crucial to a long term trading success.

Use Time Stops Instead Of Stop Loss Orders



One of the main differences between the underlying asset and the option is time value. With stocks, ETF's and bonds, time is not a factor; in other words, the length of time you hold the position has no impact on the price of that position. Since options are derivatives, they are subject to time decay, which is beneficial for the seller of the option and detrimental for the buyer, since each day the option loses value due to time decay.

Not realistically taking into account the length of time you intend to stay in the position is equivalent to trading the underlying asset and not using stop loss orders to protect against unforeseeable risk of loss.

With options, I always make sure to give each trade a maximum holding time period. Unless you do so, you will find that you end up holding the position till expiration or till it makes no sense to liquidate it. Setting guidelines for how long you intend to hold the long options position will force you to cut your losers quicker.

Monitor VIX Level Daily

If you trade stocks, ETF's or index options, you need to know and follow the VIX index very closely. The VIX is a key measure of market expectations of near-term volatility conveyed by S&P 500 stock index option prices.

\$VIX - CBOE Volatility Index - Daily OHLC Chart



Most stocks and ETF's have a high correlation to the overall market, so in addition to comparing the implied volatility level of each stock or ETF that you trade, you should also examine the volatility of the overall market, since it will have a major impact on the price of the option that you are trading.

Know The Option's Delta Ahead Of Time



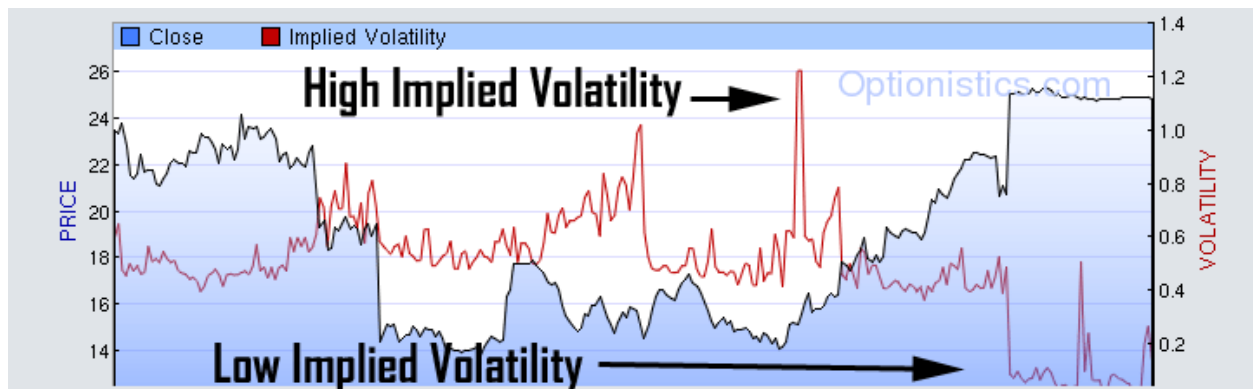
The option's delta is the rate of change of the price of the option with respect to its underlying assets price. If a call option has a delta of \$0.25, the option will move about \$.25 given a \$1 move, up or down, in the underlying.

The Delta can range from 0 to 1.00 for calls and 0 and -1.00 for puts and tends to increase as the options strike price gets closer to being in the money and moves further away as the option gets further out of the money.

Buying options with low Delta will cause the options sensitivity to be extremely low in comparison to the movement in the underlying asset.

Therefore, I recommend you purchase options that have a minimum Delta of .50 for call options and -.50 for put options. This way you will assured that the option that you purchased will gain at least \$.50 for every \$1.00 move in the underlying asset.

Implied Volatility Levels Must Be Low



Implied volatility represents the expected volatility of the underlying asset. Implied volatility is directly influenced by the market's expectation of the underlying assets degree of movement as well as direction. Options that have high levels of implied volatility will result in expensive option premiums.

Conversely, as demand for an option diminishes, implied volatility will decrease. Options containing lower levels of implied volatility will result in cheaper option prices, which makes them ideal for buyers. Options that are trading further from the strike price and are out of the money, tend to be influenced by implied volatility more than options that have high intrinsic value, because implied volatility only influences the time value component of the option.

Always check the implied volatility level on the underlying asset before purchasing options, because if implied volatility levels on the underlying asset are high, the odds are strong that the options will be expensive and if implied volatility on the underlying asset is low, you will find that the options are priced lower.

Most options brokers offer software that will help you track the underlying assets implied volatility level. I recommend you only buy options when the implied volatility level is in the lower 30th percentile of the annual range and avoid buying options when implied volatility moves relatively higher.

In conclusion, by following these simple trading tips, you will avoid common mistakes that can make a big difference in your options trading.



Swing Trading Options Strategies

When I started trading back in the early eighties, my progression was Stocks, Commodities, Index Futures, Stock Options, Forex. By the time I started trading options I already knew enough about the markets and more importantly about risk to make reasonably good trading decisions. But looking back, if I started trading options instead of other markets, I doubt I would have developed the necessary foundation and discipline to succeed with options.

Options Volatility Is the Key To Success

One of the biggest reasons why beginners run into trouble when they first start swing trading options strategies is because they lack the basic understanding of implied volatility and how implied volatility can impact and distort the price of options. Did you know that options can increase and decrease in value based on simple perception and nothing more? Did you know that at one point that during the stock market crash of the 87, BOTH the calls and the puts increased in value several times over, simply because of the fear that investors brought into the market place?

Yes, with options the most important factor is not market direction, but future perception of price or implied volatility which shows the market's opinion of the stock's potential moves, or the markets expectation of the future. I can spend the next 2 hours explaining to you the technical definition of implied volatility and options pricing. I used to be obsessed with the Black-Scholes model and probability calculations and I'm going to share a little story with you.

This had a major impact on my swing trading options strategies and how I constructed my strategies after this unfortunate event occurred.

My Personal Options Trading Story

I remember the first time I read Options As A Strategic Investment (the bible on options trading) the book was over 800 pages and I remember reading every page and thinking that the more I learn about implied volatility and all the different strategies, the more profitable I was going to become.

I remember understanding that if you sell options that have high volatility then in the long run you will make money, because statistically options will go to fair value so over time you will make money by selling expensive options and buying them back when volatility is low. This made sense to me because I naturally think in terms of probability and this was nothing more than getting something expensive and getting rid of it when it was cheap.

Anyway, I got very excited and rushed out to get the next morning's Investor's Business Daily at the news stand (there was no internet and the next day's paper came at 8 pm the night before). I remember the newspaper had an options table that made it very easy to get all the options prices that were traded that day. This would give me at least some idea of what to look for and what cheap or expensive volatility wise.

I ended up picking about 5 stocks and they were all tech stocks and the volatility on them was extremely high, I mean these suckers were priced two to three times what other options were priced at with similar risk and strike price. I thought I was really getting lucky here and the next morning I ended up selling about \$5,000 worth of premium that had about 3 weeks to go before expiration.

I Thought I Discovered the Options Trading Holy Grail

I thought I did really well and couldn't believe my luck, I thought I found the Gold at the end of the rainbow, but naturally and anyone who's ever sold option premium will tell you that time begins to move very slow when you are selling options. If time in your life is going by too fast, I suggest you sell a few premiums and all of a sudden weeks will go by like months.

Getting back to my story, within the next 4 to 5 days, each and every one of the options that I sold increased in price dramatically. One stock got bought out, the other stock had incredible earnings and the others just took off. This is when I figured out something very important and I want you to understand it without losing your shirt. When options are overly expensive, there is typically a very strong underlying reason for this, just like when you go to the race track and the best horses pay out 2 to 1 while the horses that are less likely to win have odds of 10 to 20 to 1, there's a reason for this and typically it's right on the money.

My reason for telling you this story is because I don't want you to get too caught up in the GREEKS because they never helped me make one penny trading options. All those software programs that tell you which option is expensive or which option is cheap are great, but the problem is they don't tell you WHY the option is cheap or why it's expensive and if the option has a pulse or any type of volume to it, it will typically be priced high or low because of an underlying reason and this is something the GREEKS will never tell you and this has much more impact on the options price than any mathematical or statistic calculation ever will.

Swing Trading Options Strategy That Works

Now that you understand a bit about how options are really priced, I will share a great swing trading options strategy with you that you can apply right away to most financial markets. This strategy takes implied volatility into account, so you will be buying both calls and puts when they are cheap or when implied volatility is on your side.

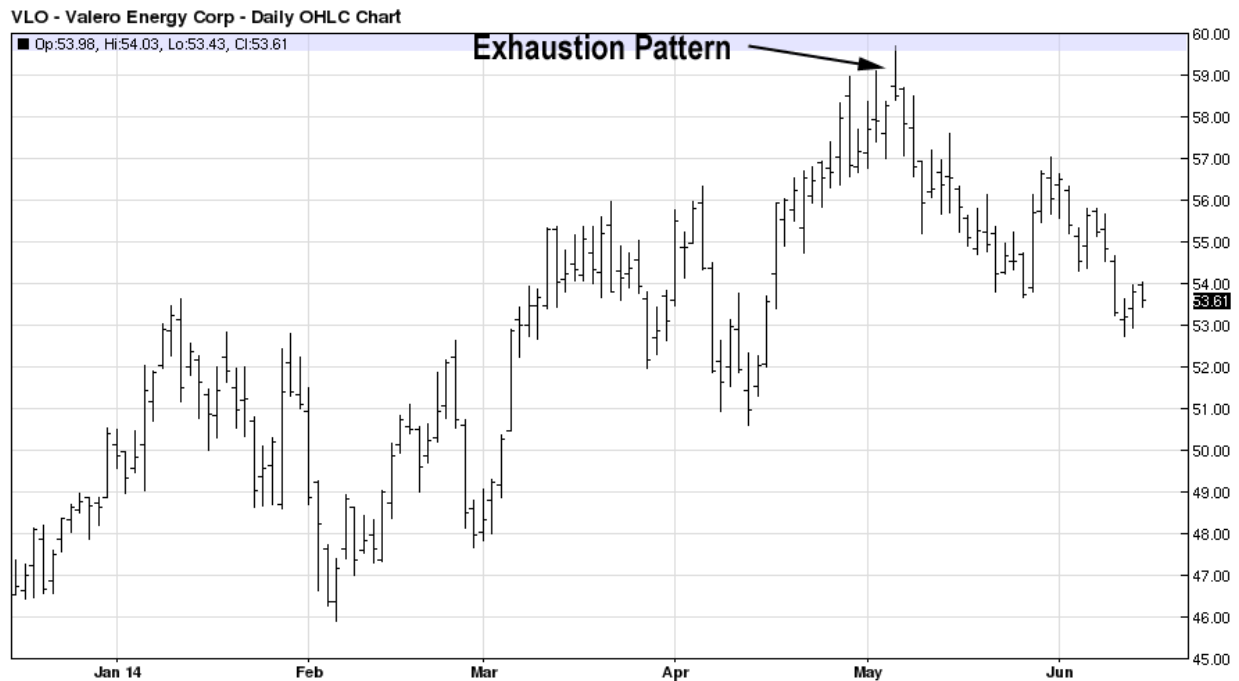
As most of you know, I'm not a counter trend trader, this means I always follow the trend and try not to pick market tops or bottoms, but when you are trading options, trading in the direction of the trend means buying options at expensive prices and offsetting them when they are more expensive, one way to combat implied volatility is to use a counter trend method. I typically don't use counter trend methods with assets, but in this case we are not trading assets we are trading derivatives of those assets, so we have to trade a bit differently.

One of my favorite methods to time my purchases is to use market exhaustion patterns. What we want to see is an exhaustion or if there is no gap, at least a bar with a lot of range that opens in one direction and closes in another direction. You will usually find about twice or three times per year on most large cap stocks that are not trending strongly.

Buy Puts When Premium Is Low

In this example Valero Energy, a large cap stock goes through a reversal when most traders are expecting further upside movement. This is when volatility to the upside is really high. If you were to buy a call option at this price level, I doubt you would make

money even if the stock would for about 4 to 5 points. The stock would really have to move up strongly for call options to keep gaining, unless the momentum would slow down and the volatility would decrease. A smart trader would buy PUT options when the stock begins breaking down. The put options would have so little volatility that even if the market went against you for a day or two, the option wouldn't volatility would be so low that the options price would most likely not decrease too much.



Buying Calls When Premium is Cheap

In this example we have a near perfect example of a exhaustion pattern to the downside. When this day happened, the put options were grossly overpriced, so much that if you were to buy a put he day before the big drop, you would barely see any increase in price. But if you bought a CALL option around the time the market bottomed out and even if you were off by a few points, the volatility would be so low on the option that it would barely go against you.

CI - Cigna Corp - Daily OHLC Chart



Keep Swing Trading Options Strategies Simple

I hope this gave you some ideas about your own options trading and how to put together working swing trading options strategies. Always remember that implied volatility is not something you can ignore and it can take on a life of its own and distort the true value of your options contract. Yes, the market may be going up and your option may be decreasing in value because the market's perception of the future is not as optimistic as it was two days earlier!



Quick Tips To Better Options Trading

Many of the tips that I'm sharing with you today come from over 20 years of trading experience. Remember, there's no correlation between complex concepts and profitability; and I urge all of you to follow these simple trading tips diligently.

Options liquidity is generally 10% to 20% of the underlying asset and that makes it necessary to use limit orders at all times, regardless of the option that you are trading. Avoid purchasing options that are very far out of the money because they appear to give high degree of leverage, but the odds of them expiring in the money is incredibly low majority of the time.

The impact of implied volatility on the price of options can be substantial and can completely distort and grossly over-value the price of an option. Therefore, you should know ahead of time the implied volatility level of each option before you initiate either a long position or a short position.

Before you begin trading exotic strategies, learn and focus on simple positions that don't require numerous options to form a spread. Combination spreads that hold several long and short positions rarely work out and will end up costing you more commission than the potential profit on the trade.

Day trading options may seem like a viable choice, but liquidity levels make the spreads between the bid and offer unusually large and can cause you to risk much more than

you originally intended when entering the trade as well as the profit potential that can be gained by opening the trade and closing the trade during the same day.

If you are a directional trader and buy options, consider entry methods that rely on low volatility levels or pullbacks instead of breakouts.

These entry methods rely on low levels of implied volatility and when the underlying asset breaks out and begins moving, the option begin increasing in value very quickly; because implied volatility levels increase drastically, making the option overvalued and undesirable for buyers.

Because options liquidity is relatively lower than the underlying asset, the time of day you enter the trade can have a significant impact on your fill price.

Entering orders during certain time periods of the day, such as near the opening or the closing when volatility is high will result in worse price fills.

While entering orders during calm periods, such as mid-day, when volatility levels are lower, can help you gain a substantially better price fill.

Do not sell premium without some type of protection in case of unforeseeable price moves. Selling naked options seems like a good idea because the majority of options that are out of the money expire worthless.

However, before the option expires it may inflate substantially in value; causing you to have to put up a massive margin deposit to continue holding the position till it expires.

It's very easy for an option that was worth \$100.00 to inflate into a \$2,000.00 contract in less than 24 hours.

If you sold 100 contracts and brought in \$10,000.00 in premium, the same options would be worth \$200,000.00, and you would have to either liquidate your account or come up with \$200,000.00 in cash to cover the position till expiration.

Don't always assume that expensive options should be sold and cheap options should be purchased. You will find that the majority of the time overpriced options are expensive because positive earnings or take over news is expected from the company.

Similarly, you will find that the majority of "under-priced" options are cheap because the probability of these options becoming valuable before expiration is very low.

When I began trading options, I made the mistake of selling options because their implied volatility was very high, only to learn that the underlying stock was a take-over candidate and the options continued moving higher, multiplying in value over the next two weeks.

You should avoid legging into spreads because you run the risk of the underlying asset moving against you before you had the chance to enter both (all) sides of the spread.

Furthermore, entering the trade as a spread allows you to negotiate a better price fill the majority of the time, because you are combining multiple positions into one.

Never enter an options trade without having a predefined exit plan. Before you initiate the trade, your mind is completely objective since no risk is assumed.

Once you enter the trade and assume the risk that comes with an option position it becomes very difficult to stay neutral and manage the trade without a pre-defined set of rules to guide you along the way.

When planning your exit, always take into account the best-case scenario and the worst-case scenario in case the position goes against you.

Don't under-estimate the value of basic option sentiment such as open interest and put call ratio. These very basic tools can alert you to sudden changes in both price and overall momentum of the underlying asset.

By following these simple options trading tips, you will avoid very simple mistakes that can make the difference between winning and losing.

All the best,

Roger Scott
WealthPress

Is There An “Unseen Hand” That Controls The Stock Market?

What I’m about to reveal may sound like a conspiracy theory...

But after spending decades on Wall Street...

After working with key economic advisors in the White House...

And after turning \$20 million into \$740 million for my wealthiest clients, I’m now sharing the TRUTH...

[Click here to get all the facts on the “V-Bounce” and start getting in on these moonshot trades before they happen!](#)

DISCLOSURE. Wealthpress LLC., its managers, its employees, and assigns (collectively “The Company”) do not make any guarantee or warranty about what is advertised above.

The Company is not affiliated with, nor does it receive compensation from, any specific security.

While the Company will not engage in front-running or trading against its own recommendations, The Company and its managers and employees reserve the right to hold possession in certain securities featured in its communications.

The Company is not registered or licensed by any governing body in any jurisdiction to give investing advice or provide investment recommendation.

ALWAYS DO YOUR OWN RESEARCH and consult with a licensed investment professional before making an investment. This communication should not be used as a basis for making any investment Indemnification/Release of Liability.

By reading this communication, you agree to the terms of this disclaimer, including, but not limited to: releasing The Company, its affiliates, assigns and successors from any and all liability, damages, and injury from the information contained in this communication.

You further warrant that you are solely responsible for any financial outcome that may come from your investment decisions.

Forward-Looking Statement. As defined in the United States Securities Act of 1933 Section 27(a), as amended in the Securities Exchange Act of 1934 Section 21(e), statements in this communication which are not purely historical are forward-looking statements and include statements regarding beliefs, plans, intent, predictions or other statements of future tense. Past Performance is Not Indicative of Future Results.

Investing is inherently risky. While a potential for rewards exists, by investing, you are putting yourself at risk. You must be aware of the risks and be willing to accept them in order to invest in any type of security.

Don't trade with money you can't afford to lose. This is neither a solicitation nor an offer to Buy/Sell securities. No representation is being made that any account will or is likely to achieve profits or losses similar to those discussed on this web site. The past performance of any trading system or methodology is not necessarily indicative of future results.

CFTC RULE 4.41 - HYPOTHETICAL OR SIMULATED PERFORMANCE RESULTS HAVE CERTAIN LIMITATIONS. UNLIKE AN ACTUAL PERFORMANCE RECORD, SIMULATED RESULTS DO NOT REPRESENT ACTUAL TRADING. ALSO, SINCE THE TRADES HAVE NOT BEEN EXECUTED, THE RESULTS MAY HAVE UNDER-OR-OVER COMPENSATED FOR THE IMPACT, IF ANY, OF CERTAIN MARKET FACTORS, SUCH AS LACK OF LIQUIDITY.

SIMULATED TRADING PROGRAMS IN GENERAL ARE ALSO SUBJECT TO THE FACT THAT THEY ARE DESIGNED WITH THE BENEFIT OF HINDSIGHT. NO REPRESENTATION IS BEING MADE THAT ANY ACCOUNT WILL OR IS LIKELY TO ACHIEVE PROFIT OR LOSSES SIMILAR TO THOSE SHOWN.

All trades, patterns, charts, systems, etc., discussed in this message and the product materials are for illustrative purposes only and not to be construed as specific advisory recommendations.

All ideas and material presented are entirely those of the author and do not necessarily reflect those of the publisher.

No system or methodology has ever been developed that can guarantee profits or ensure freedom from losses. No representation or implication is being made that using the methodology or system will generate profits or ensure freedom from losses.

The testimonials and examples used herein are exceptional results, which do not apply to the average member, and are not intended to represent or guarantee that anyone will achieve the same or similar results.

You agree to the Terms of Use that are defined at <https://www.wealthpress.com/>